

FEDERAL MARITIME COMMISSION

DOCKET NO. 17-03

ANTONIO EGBERTO CARNEIRO LIMA

v.

FASTWAY MOVING AND STORAGE, INC., d/b/a DREAM CARGO, d/b/a FASTWAY, d/b/a FASTWAY MOVING; FASTWAY MOVING AND SERVICES CORP.; FASTWAY MOVING AND TRADING CORP.; ABREU LOPES TRANSPORTES LTDA; and ABREU LOGISTICS USA, LLC d/b/a ABREU LOGISTICS & CARGO

INITIAL DECISION ON DEFAULT¹

On April 17, 2017, Complainant Antonio Egberto Caneiro Lima filed a complaint against five respondents: Fastway Moving and Storage, Inc., d/b/a Dream Cargo, d/b/a Fastway, d/b/a Fastway Moving; Fastway Moving and Services Corp.; Fastway Moving and Trading Corp. (collectively “Fastway Entities”); and, Abreu Lopes Transportes Ltda and Abreu Logistics USA, LLC d/b/a Abreu Logistics & Cargo (collectively “Abreu Entities”).

The complaint alleges that Respondents violated four sections of the Shipping Act of 1984 (“Shipping Act”) by: 1) failing to establish or observe just and reasonable practices in the receiving, handling, or delivery of Complainant’s property in violation of 46 U.S.C. § 41102(c); 2) allowing a person to obtain transportation for property at less than Respondents’ tariff or service contract rates or charges in violation of 46 U.S.C. § 41104(1); 3) providing service in the liner trade that was not in accordance with Respondents’ tariff or service contract rates, charges, classifications, rules, and practices, in violation of 46 U.S.C. § 41104(2)(A); and, 4) knowingly and willfully accepting cargo from or transporting cargo for an ocean transportation intermediary (“OTI”) without a tariff or bond, insurance or surety, in violation of 46 U.S.C. § 41104(11). Complaint at 11-12. Complainant alleges that he suffered damages in excess of \$129,872.22 as a result of these alleged violations. Complaint at 12.

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

The Commission's rules require that Respondents file their answer or otherwise respond to the complaint within twenty-five days after the date of service of the complaint. 46 C.F.R. § 502.62(b)(1). No answer has been filed to date. In addition, the parties were served an initial order dated April 25, 2017, which required the parties to file a joint status report. Respondents failed to respond to this initial order.

An order requiring status report was issued on June 21, 2017. This order warned that the "parties are expected to participate fully in this proceeding" and that "[f]ailure to file an answer or status report may result in a default judgment against respondents." Order Requiring Status Report at 1. Respondents failed to respond to the order requiring a status report.

An order for Respondents to show cause and order for Complainant to show cause ("OTSC") was issued on August 1, 2017, granting Respondents additional time to respond to the complaint and ordering Respondents to show cause why a decision should not be entered against them. Respondents were warned that if they failed to respond to the order to show cause by August 25, 2017, a default decision could be entered against them. OTSC at 2. Respondents failed to respond to the order to show cause.

Complainant was asked to file a motion for default including "information showing notice to each Respondent; evidence supporting the case (for example, bills of lading, emails between Complainant and Respondents, or other information regarding the shipment at issue); an explanation of why each Respondent was included in the case; an analysis of the relevant legal factors; and the 'actual injury' justifying the claim for damages." OTSC at 3. Complainant was also notified that "the Shipping Act allows only for compensation for actual injury, not for general damages of pain, suffering, or inconvenience and not for punitive damages." OTSC at 3.

Complainant failed to file the motion for default. However, Complainant had filed a detailed, thirteen page complaint with 89 paragraphs explaining the alleged violations. In addition, Complainant had filed a declaration regarding status of service on Respondents on June 29, 2017.

On November 28, 2017, a second order to show cause ("2nd OTSC") was issued, which stated:

An additional address has been identified for Respondents in a 2017 Florida Limited Liability Company report filed with the Florida Secretary of State. In an abundance of caution, this second order to show cause and copies of the previous order to show cause, notice of filing of complaint and assignment, and the complaint will be sent to this new address, 1100 South Federal Hwy., Suite 409, Deerfield Beach, FL, 33441, as well as to the other addresses on record. Respondents will be given until December 18, 2017, to respond to this proceeding by responding to the complaint and filing a document explaining why no response has been filed previously and why a decision on default should not be entered against them.

Failure of Respondents to respond by December 18, 2017, will result in a default decision against Respondents, potentially in excess of \$129,872.22 as sought by Complainants.

2nd OTSC at 1. No response to this second order to show cause has been received.

Utilizing the complaint, declaration, and service records, it appears that all of the Respondents were served and had notice of this proceeding. Therefore, a default decision against Respondents is the most appropriate action.

Discussion

To date, all Respondents have failed to respond to the complaint, the initial order, the order requiring a status report, and the two orders to show cause. The case has been pending for almost nine months.

Pursuant to Commission Rule 502.62(b)(6):

Failure of a party to file an answer to a complaint, counterclaim, crossclaim, or third-party complaint within the time provided will be deemed to constitute a waiver of that party's right to appear and contest the allegations of the complaint, counterclaim, crossclaim, or third-party complaint to which it has not filed an answer and to authorize the presiding officer to enter an initial decision on default as provided for in 46 CFR 502.65. Well pleaded factual allegations in the complaint not answered or addressed will be deemed to be admitted.

46 C.F.R. § 502.62(b)(6). Moreover, when a party is found to be in default, "the Commission or the presiding officer may issue a decision on default upon consideration of the record, including the complaint." 46 C.F.R. § 502.65(b).

"Under Federal Rule 4(d)(3), service on a corporate officer constitutes service on the corporation." *CTM Int'l, Inc. v. Medtech Enterprises, Inc., Mr. Xin Liu, and Mrs. Yanhong Liu*, 28 S.R.R. 1091, 1094 n.6 (ALJ 1999) (citing 4A Wright and Miller, Federal Practice and Procedure, sec. 1102, *Chan v. Society Expeditions, Inc.*, 39 F.3d 1398, 1404 (9th Cir. 1994)).

Complainant's declaration shows that on May 25, 2017, the managing agent for Fastway Moving and Storage, Inc. was served by a process server. Exhibits 2-3. On June 13, 2017, a copy of the complaint was served on Victor Passos, an officer of all three Fastway respondents, by UPS from the Office of the Secretary. Exhibit 4. Victor Passos' relationship with the Fastway Entities is as follows (*see* FMC RPI): Fastway Moving and Storage, Director; Fastway Moving and Services Corp., Vice President; and Fastway Moving and Trading Corp., Vice President. In addition, Complainant states that the Fastway Entities operated interchangeably as one business and are inexorably intertwined. Thus, all Fastway Respondents have been served through Victor Passos.

On April 25, 2017, Abreu Lopes Transportes Ltda was served in Brazil via FedEx from the Office of the Secretary. Exhibit 1. On November 29, 2017, Abreu Logistics USA, LLC was served at the new address identified in the second order to show cause by UPS from the Office of Administrative Law Judges. Exhibit 5.

“Due process does not require actual notice. If an agency employs a procedure reasonably calculated to achieve notice, successful achievement is not necessary to satisfy due process requirements.” *Anchor Shipping Co. v. Alianca Navegacao*, 2008 FMC LEXIS 21 at *55 (ALJ 2008) (citing *Day v. J.Brendan Wynne, Inc.*, 702 F.2d 10,11 (1st Cir. 1983)). Accordingly, the evidence demonstrates that all five Respondents received notice of this proceeding.

The Commission’s regulations provide that well-pleaded factual allegations in a complaint will be deemed to be admitted when a respondent fails to answer a complaint within the time provided. *United Logistics (LAX) Inc. – Possible Violations of Sections 10(A)(1) and 10(B)(2)(A) of the Shipping Act of 1984*, 33 S.R.R. 196, 198 (FMC 2014); *Century Metal Recycling Pvt. Ltd. v. Dacon Logistics, LLC*, 33 S.R.R. 17, 19 (FMC 2013). When a respondent defaults, the finder of fact accepts as true all well-pleaded facts in the order. 10A Wright & Miller § 2688, pp. 58-61; *Hugh Symington v. Euro Car Transport, Inc.*, 26 S.R.R. 871, 872 (ALJ 1993).

In the complaint, Complainant alleges that he contacted the Fastway Entities on or about July 17, 2014, to arrange a household goods shipment; shortly thereafter the sales specialist visited Mr. Lima’s home and provided shipping options; Mr. Lima chose the “complete” service including packing, shipping, and all legal procedures at the port in Brazil. Complaint at 4-5. The Fastway representative guaranteed that Mr. Lima’s belongings would arrive in Brazil in sixty days and Mr. Lima confirmed this guarantee with the Fastway documentation department. Complaint at 5-6. On August 6, 2014, Mr. Lima paid the Fastway Entities and provided all of the requested paperwork. Complaint at 6. The Fastway sales representative confirmed that everything was in order and that his belongings would be shipped on July 28, 2014, and would arrive in port of Rio de Janeiro, Brazil on September 14, 2014. Complaint at 6.

According to the complaint, Mr. Lima’s belongings did not arrive as scheduled. He repeatedly contacted the Fastway Entities and was told that everything was fine and that delays were normal for international shipments. Complaint at 6-7. In early 2015, Mr. Lima called the port directly and discovered that his goods had been seized. Complaint at 7. Upon investigation, he was told that his shipments had been blocked since September 1, 2014, because illegal items were found in the shipment. Complaint at 7. These illegal items were not part of Mr. Lima’s original shipment. Complaint at 7.

Mr. Lima traveled to the port in Brazil multiple times to retrieve his goods. He presented documents to the local officials to convince them to reopen the case and prevent his belongings from being auctioned off. Complaint at 8. He had to prove that the shipment was part of a household move, that the goods had been packed by the Fastway Entities and had not been in his hands since the initial packing, and that the illegal items were not part of his shipments or his belongings.

Complaint at 8.

There turned out to be 61 additional boxes that were not his in the container. Complaint at 9. He was told he would be charged in criminal court for failure to pay importation taxes on the additional boxes. Complaint at 9. Ultimately, he was able to clear everything up and the local port authorities released the shipment. Complaint at 9.

Mr. Lima contacted Fastway and they said they would deliver the shipment to his home, 2100 miles away. However, the shipment was not delivered, and Mr. Lima was told that the firm hired to move the goods had not been paid by Fastway. Complaint at 10. The container company also had not been paid and had put a hold on the shipment. Complaint at 10. The local port authorities stepped in and convinced the container company to release Mr. Lima's personal belongings. Complaint at 11. Mr. Lima had to pay port and storage fees and paid another shipping company to transport his household goods to his home. Complaint at 11.

In his complaint, Complainant alleges that each Respondent operated as a non-vessel-operating common carrier and/or ocean freight forwarder within the meaning of 46 U.S.C. § 40102. Complaint at 3. Complainant alleges that the Fastway Entities and Abreu Entities share an office in Pompano Beach, Florida, and that they operate interchangeably as one business and are inexorably intertwined. Complaint at 3.

Complainant alleges that Respondents violated the Shipping Act by failing to establish or observe just and reasonable practices related to the receiving, handling, or delivering of property; allowing a person or persons to obtain transportation for property at less than the rates or charges established by the carrier in its tariff or service contract by means of false billing, false classification, false weighting, false measurement, or other unjust or unfair device or means; providing a service in the liner trade that is not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a services contract; and knowingly and willfully accepting cargo from and transporting cargo for the account of an ocean transportation intermediary that does not have a tariff as required by section 40501 of Title 46 and a bond, insurance, or other surety as required by section 40902 of Title 46. Complaint at 11-12.

Accepting the factual allegations of the complaint as true, Respondents operated as non-vessel-operating common carriers or ocean freight forwarders, agreed to transport a shipment of household goods from the United States to Brazil, and accepted payment for the shipment. While in Respondents' care and custody, illegal items were added to the shipment. Local port authorities blocked the shipment. However, Respondents failed to notify Complainant that the shipment was blocked and then seized and failed to provide him with accurate information about his shipment. Respondents accepted payment from Complainant for services not rendered, including that Respondents failed to pay port and storage fees to release the goods, failed to pay the container company, and failed to pay transportation from the port to Complainant's home. Local port authorities had to intervene to help Complainant recover his household goods.

While it would be helpful to have additional information about the parties and the shipment, the Respondents' failure to participate in the proceeding meant that Complainant was unable to conduct discovery and to identify additional documents and information that would have supported his allegations. However, Complainant clearly alleges violations of the Shipping Act and Respondents have not denied the allegations. Similar allegations have been found by the Commission to support a default decision. *See, e.g., Century Metal Recycling Pvt. LTD v. Dacon Logistics, LLC*, 33 S.R.R. 17 (FMC 2013); *Shipco Transport Inc. v. Jem Logistics, Inc., and Andi Georgescu*, 32 S.R.R. 855 (FMC 2013); *Oceanic Bridge International, Inc. - Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, 2014 FMC LEXIS 24, *1 (ALJ Oct. 21, 2014).

The conduct alleged in the complaint states a claim for violation of the Shipping Act and Respondents have defaulted. Accordingly, Complainant has established that Respondents violated the Shipping Act.

Damages

The Complainant seeks in excess of \$129,872.22 including \$43,290.74 in special damages and \$86,581.48 in general damages. Complaint at 12, exhibit 2.

Pursuant to section 11(g) of the Shipping Act "the Federal Maritime Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part, plus reasonable attorney fees." 46 U.S.C. § 41305(b). Commission case law states that: "(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation." *Waterman v. Stockholms Rederiaktiebolag Svea*, 3 F.M.B. 248, 249 (FMB 1950); *James J. Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal Dist.*, 30 S.R.R. 8, 13 (FMC 2003).

The evidence demonstrates that as a consequence of the violations by Respondents, Mr. Lima sustained \$37,190.74 in actual injury for shipping charges, storage, property damage, loss of earning, and actual expenses. Mr. Lima is also entitled to interest running from September 1, 2014, to be calculated by the Commission when this judgement and decision become administratively final. *See* 46 C.F.R. § 502.253. In addition, the Complainant may be eligible for attorney fees, upon petition, pursuant to Commission Rule 254. 46 C.F.R. § 502.254.

The amount of reparations ordered does not include legal fees or general damages. The evidence does not support an actual injury award of additional damages for attorney's fees. Typically, attorney fees are not considered part of the actual damages claim. *Bernard & Weldcraft Welding Equip. v. Supertrans Int'l Inc.*, 29 S.R.R. 1348, 1350 (ALJ 1992); *see also Transworld Shipping (USA), Inc. v. FMI Forwarding (San Francisco), Inc.*, 29 S.R.R. 418, 423 (ALJ 2001); *Burlington Northern Railroad Co. v. M.C. Terminals, Inc.*, 26 S.R.R. 682, 698-99 (ALJ 1992). The circumstances here are not analogous to the "extremely unusual case" where such damages were awarded. *Bernard & Weldcraft*, 29 S.R.R. at 1350.

In addition, general damages such as pain, suffering, and inconvenience are not generally available in these proceedings. *See, e.g., Baladin v. Liberty Lines, Inc. and Southern Express Moving and Shipping*, 26 S.R.R. 1527 (ALJ 2009) stating that the complainant's claim for "mental aggravation and inconvenience" was "without proper legal foundation" because damages are not allowed for suffering "mental and spiritual anguish" due to nondelivery of cargo (citing *Santiago v. Sea-Land Service, Inc.*, 366 F.Supp. 1309, 1311, 1321 (D. Pr. 1973)).

For the reasons stated above, it is hereby

ORDERED that an initial decision on default be entered against Respondents Fastway Moving and Storage, Inc., d/b/a Dream Cargo, d/b/a Fastway, d/b/a Fastway Moving; Fastway Moving and Services Corp.; Fastway Moving and Trading Corp.; Abreu Lopes Transportes Ltda; and, Abreu Logistics USA, LLC d/b/a Abreu Logistics & Cargo and that Complainant Antonio Egberto Caneiro Lima be jointly and severally awarded \$37,190.74 plus interest from September 1, 2014, as reparations for violating the Shipping Act.

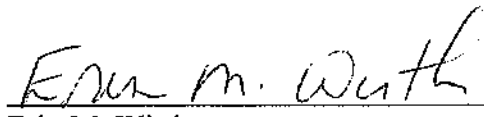

Erin M. Wirth
Administrative Law Judge

Exhibit 1



August 1, 2017

Dear Customer:

The following is the proof-of-delivery for tracking number **778955322294**.

Delivery Information:

Status:	Delivered	Delivery location:	R. DEOCLECIANA, 86 - LUZ SAO PAULO, SP 01106
Signed for by:	A.AELINO VAGNER SANTOA	Delivery date:	Apr 25, 2017 09:58
Service type:	FedEx International Priority		
Special Handling:	Deliver Weekday		

Shipping Information:

Tracking number:	778955322294	Ship date:	Apr 21, 2017
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Recipient:
ABREU TRANSPORTES LTDA
ABREU TRANSPORTES LTDA
R. DEOCLECIANA, 86 - LUZ
SAO PAULO, SP 01106 BR

Shipper:
SAMUEL UANSERUME
FEDERAL MARITIME COMMISSION
800 NORTH CAPITOL ST NW
WASHINGTON, DC 20573 US

Thank you for choosing FedEx.

Exhibit 2

CHECK ONE BOX BELOW TO INDICATE APPROPRIATE METHOD OF SERVICE:

☒ Served personally upon the defendant

FASTWAY MOVING AND STORAGE, INC., D/B/A DREAM CARGO, D/B/A FASTWAY, D/B/A FASTWAY MOVING C/O VICTOR S. PASSOS, R.A.

Place where served:

78 JOHN MILLER WAYSOUTH KEARNY NJ

☐ Left copies thereof at the defendant's dwelling house or usual place of abode with a person of suitable age and discretion then residing therein. Name of person with whom the summons and complaint were left:

ENUNIC OGHA

Relationship to defendant MANAGING AGENT

Description of Person Accepting Service:

SEX: F AGE: 36-50 HEIGHT: 5'0"-5'3" WEIGHT: 131-160 LBS. SKIN: WHITE HAIR: BLACK OTHER: _____

☒ To the best of my knowledge, said person was not engaged in the U.S. Military at the time of service

STATEMENT OF SERVER

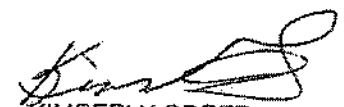
TRAVEL \$ _____

SERVICES \$ _____

TOTAL \$ _____

DECLARATION OF SERVER

I declare under penalty of perjury under the laws of the United States of America that the foregoing information contained in this Return of Service and Statement of Server is true and correct.

DATE: 5/25/2017_____
L.S.SIGNATURE OF MARK SACRIPANTI
GUARANTEED SUBPOENA SERVICE, INC.
2009 MORRIS AVENUE
UNION, NJ 07083ATTORNEY: SUZANNE IAZZETTA, ESQ.
PLAINTIFF: ANTONIO EGBERTO CARNEIRO LIMA
DEFENDANT: FASTWAY MOVING AND STORAGE, INC., D/B/A DREAM CARGO, D/B/A
VENUE: FASTWAY, D/B/A FASTWAY MOVING, ET AL
DOCKET: DISTRICT
COMMENT: 17 03
ADDRESS GIVEN WAS A EMPTY HOUSE
KIMBERLY GROTE
NOTARY PUBLIC OF NEW JERSEY
My Commission Expires Dec. 18, 2018

JB

Exhibit 3

CHECK ONE BOX BELOW TO INDICATE APPROPRIATE METHOD OF SERVICE:

☒ Served personally upon the defendant

FASTWAY MOVING AND STORAGE, INC., D/B/A DREAM CARGO, D/B/A FASTWAY, D/B/A FASTWAY MOVING C/O VICTOR S. PASSOS, R.A.

Place where served:

78 JOHN MILLER WAYSOUTH KEARNY NJ

☐ Left copies thereof at the defendant's dwelling house or usual place of abode with a person of suitable age and discretion then residing therein. Name of person with whom the summons and complaint were left:

ENUNIC OGHA

Relationship to defendant MANAGING AGENT

Description of Person Accepting Service:

SEX: F AGE: 36-50 HEIGHT: 5'0"-5'3" WEIGHT: 131-160 LBS. SKIN: WHITE HAIR: BLACK OTHER: _____

☒ To the best of my knowledge, said person was not engaged in the U.S. Military at the time of service

STATEMENT OF SERVER

TRAVEL \$ _____

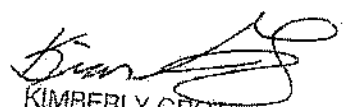
SERVICES \$ _____

TOTAL \$ _____

DECLARATION OF SERVER

I declare under penalty of perjury under the laws of the United States of America that the foregoing information contained in this Return of Service and Statement of Server is true and correct.

DATE: 5/28/2017

U.S.SIGNATURE OF MARK SACRIPANTI
GUARANTEED SUBPOENA SERVICE, INC.
2008 MORRIS AVENUE
UNION, NJ 07083ATTORNEY: SUZANNE IAZZETTA, ESQ.
PLAINTIFF: ANTONIO EGBERTO CARNEIRO LIMA
DEFENDANT: FASTWAY MOVING AND STORAGE, INC., D/B/A DREAM CARGO, D/B/A
VENUE: FASTWAY, D/B/A FASTWAY MOVING, ET AL
DOCKET: DISTRICT
COMMENT: 17 03
ADDRESS GIVEN WAS A EMPTY HOUSE
KIMBERLY GROTE
NOTARY PUBLIC OF NEW JERSEY
My Commission Expires Dec. 18, 2018

JB

Exhibit 4



Proof of Delivery

[Close Window](#)

Dear Customer,

This notice serves as proof of delivery for the shipment listed below.

Tracking Number:	1Z1Y2R542496431208
Service:	UPS NEXT DAY AIR
Special Instructions:	Signature Required
Delivered On:	06/13/2017 10:04 A.M.
Delivered To:	OLD BRIDGE, NJ, US
Received By:	VICTOR
Left At:	Residential

Thank you for giving us this opportunity to serve you.

Sincerely,

UPS

Tracking results provided by UPS: 11/07/2017 3:16 P.M. ET

Exhibit 5



Proof of Delivery

[Close Window](#)

Dear Customer,

This notice serves as proof of delivery for the shipment listed below.

Tracking Number:	1Z1Y2R54A297464112
Reference Number(s):	ALJ
Service:	UPS Next Day Air®
Special Instructions:	Adult Signature Required
Shipped/Billed On:	11/28/2017
Delivered On:	11/29/2017 12:46 P.M.
Delivered To:	DEERFIELD BEACH, FL, US
Received By:	TEXIERA
Left At:	Office

Thank you for giving us this opportunity to serve you.

Sincerely,

UPS

Tracking results provided by UPS: 12/13/2017 1:44 P.M. ET